

Unit-2

Global E-business and Collaboration

Business Process

A business process is an activity or set of activities that accomplish a specific organizational goal. Business processes should have purposeful goals, be as specific as possible and produce consistent outcomes. The method with which work is organized, coordinated and controlled is the Business Process.

Business Processes are also the flow of information – sets of activities through the organization. Examples include: processing payroll, account payables, class Registration, inventory management, sales, purchases etc.

Business Process and IS

Business processes refer to sets of logically related activities for accomplishing a specific business result. Business processes also refer to the unique ways in which organizations and management coordinate these activities. A company's business processes can be a source of competitive strength if they enable the company to innovate better or to execute better than its rivals. Business processes can also be liabilities if they are based on outdated ways of working that impede organizational responsiveness and efficiency.

Business Process and IS

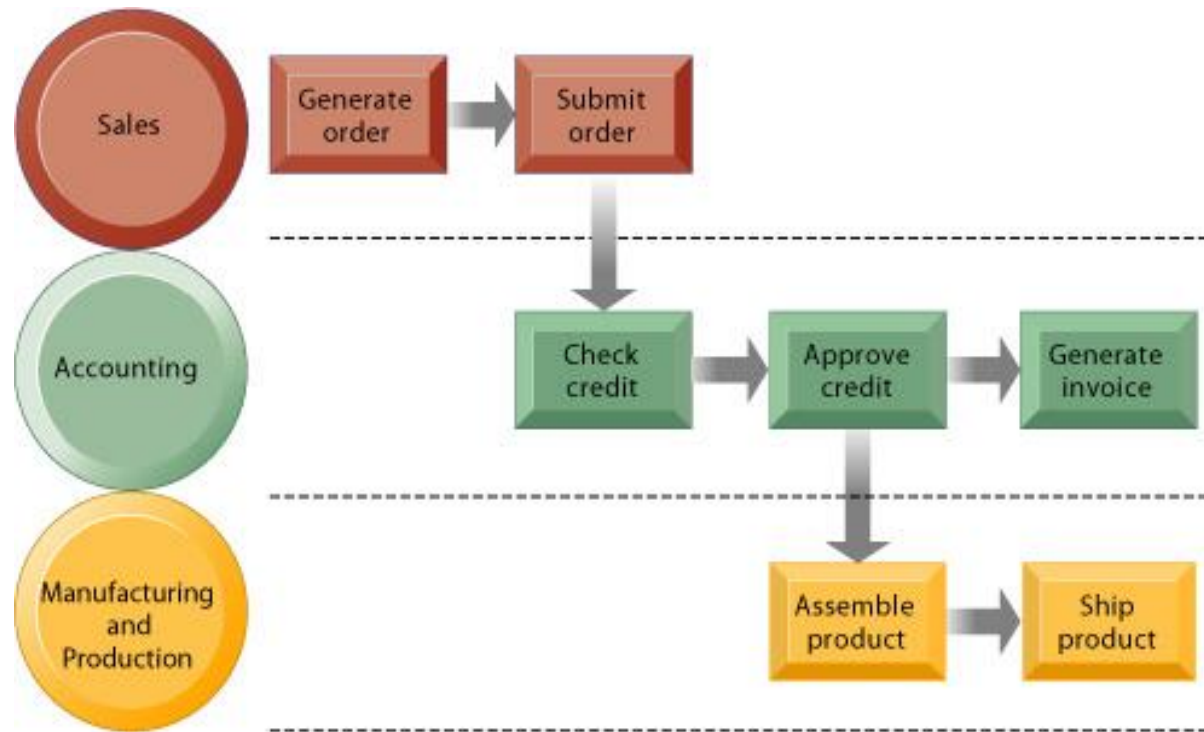
Functional Area and Business process

Functional Area	Business Process
Manufacturing and production	Assembling the product Checking for quality Producing bills of materials
Sales and marketing	Identifying customers Making customers aware of the product Selling the product
Finance and accounting	Paying creditors Creating financial statements Managing cash accounts
Human resources	Hiring employees Evaluating employees' job performance Enrolling employees in benefits plans

HOW INFORMATION TECHNOLOGY IMPROVES BUSINESS PROCESSES

Exactly how do information systems improve business processes. Information systems automate many steps in business processes that were formerly performed manually, such as checking a client's credit, or generating an invoice and shipping order. But today, information technology can do much more. New technology can actually change the flow of information, making it possible for many more people to access and share information, replacing sequential steps.

Order fulfillment process



SYSTEMS FOR DIFFERENT MANAGEMENT GROUPS

A business firm has systems to support different groups or levels of management. These systems include transaction processing systems, management information systems, decision-support systems and systems for business intelligence.

Types of Information System

Transaction Processing Systems

Operational managers need systems that keep track of the elementary activities and transactions of the organization, such as sales, receipts, cash deposits, payroll, credit decisions and the flow of materials in a factory. Transaction 46 Part One Organizations, Management, and the Networked Enterprise processing systems (TPS) provide this kind of information. A transaction processing system is a computerized system that performs and records the daily routine transactions necessary to conduct business, such as sales order entry, hotel reservations, payroll, employee record keeping and shipping.

Types of Information System

Business Intelligence Systems for Decision Support

Middle management needs systems to help with monitoring, controlling, decision-making and administrative activities. The principal question addressed by such systems is this: Are things working well.

Types of Information System

Management Information System(MIS)

The term management information systems (MIS) also designates a specific category of information systems serving middle management. MIS provide middle managers with reports on the organization's current performance. This information is used to monitor and control the business and predict future performance. MIS summarize and report on the company's basic operations using data supplied by transaction processing systems.

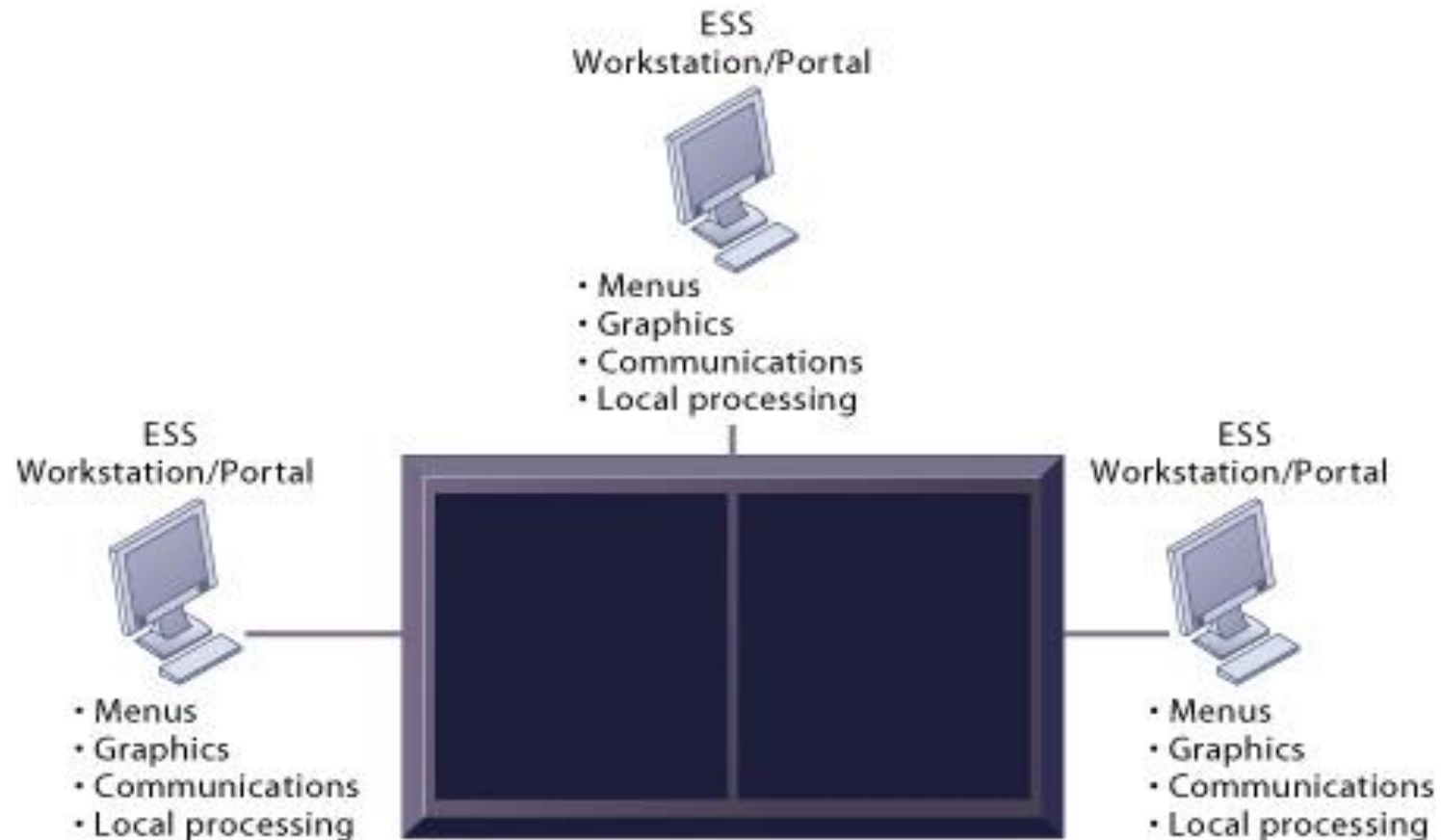
Types of Information System

Executive Support Systems(ESS)

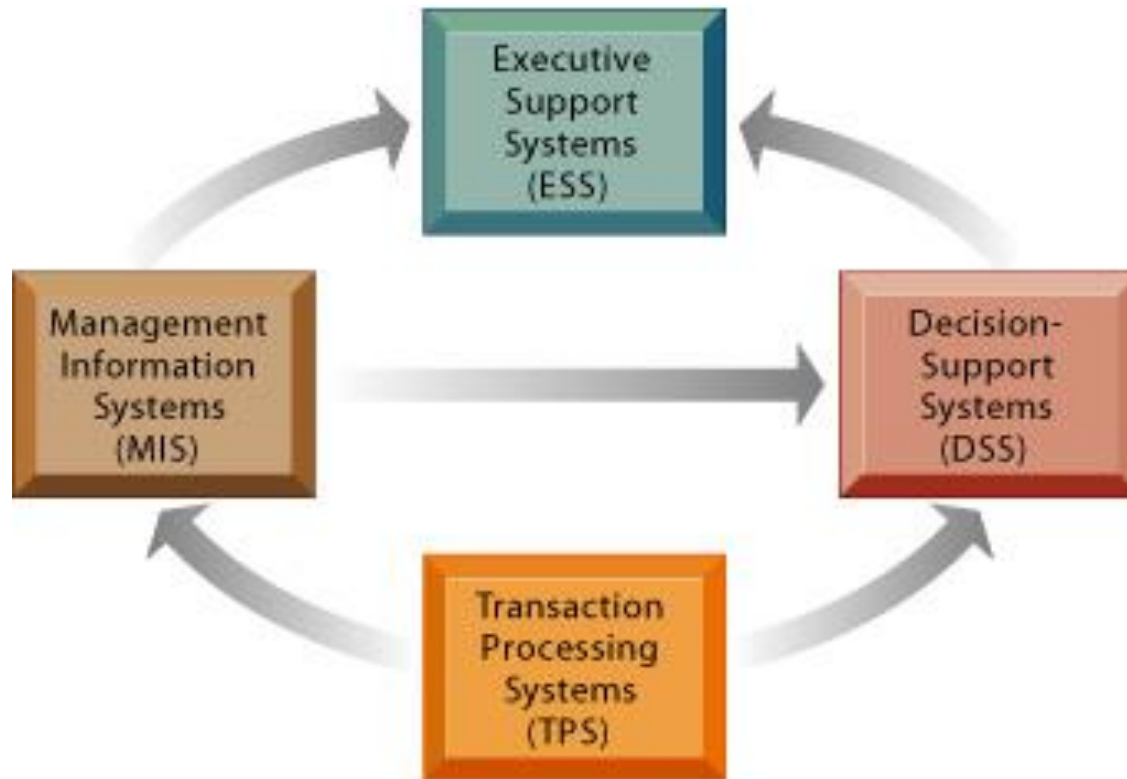
Senior managers use executive support systems (ESS) to help them make decisions. ESS serve the strategic level of the organization. They address non routine decisions requiring judgment, evaluation and insight because there is no agreed-on procedure for arriving at a solution.

ESS are designed to incorporate data about external events, such as new tax laws or competitors, but they also draw summarized information from internal MIS and DSS. For example, the CEO of Leiner Health Products, the largest manufacturer of private-label vitamins and supplements in the United States, has an ESS that provides on his desktop a minute-to-minute view of the firm's financial performance as measured by working capital, accounts receivable, accounts payable, cash flow and inventory.

Model of a typical Executive support system



Interrelationships among systems



SYSTEMS FOR LINKING THE ENTERPRISE

Enterprise applications are the systems that can coordinate activities, decisions, and knowledge across many different functions, levels, and business units in a firm. Enterprise applications include: enterprise systems, supply chain management systems, customer relationship management systems and knowledge management systems.

SYSTEMS FOR LINKING THE ENTERPRISE

Enterprise systems

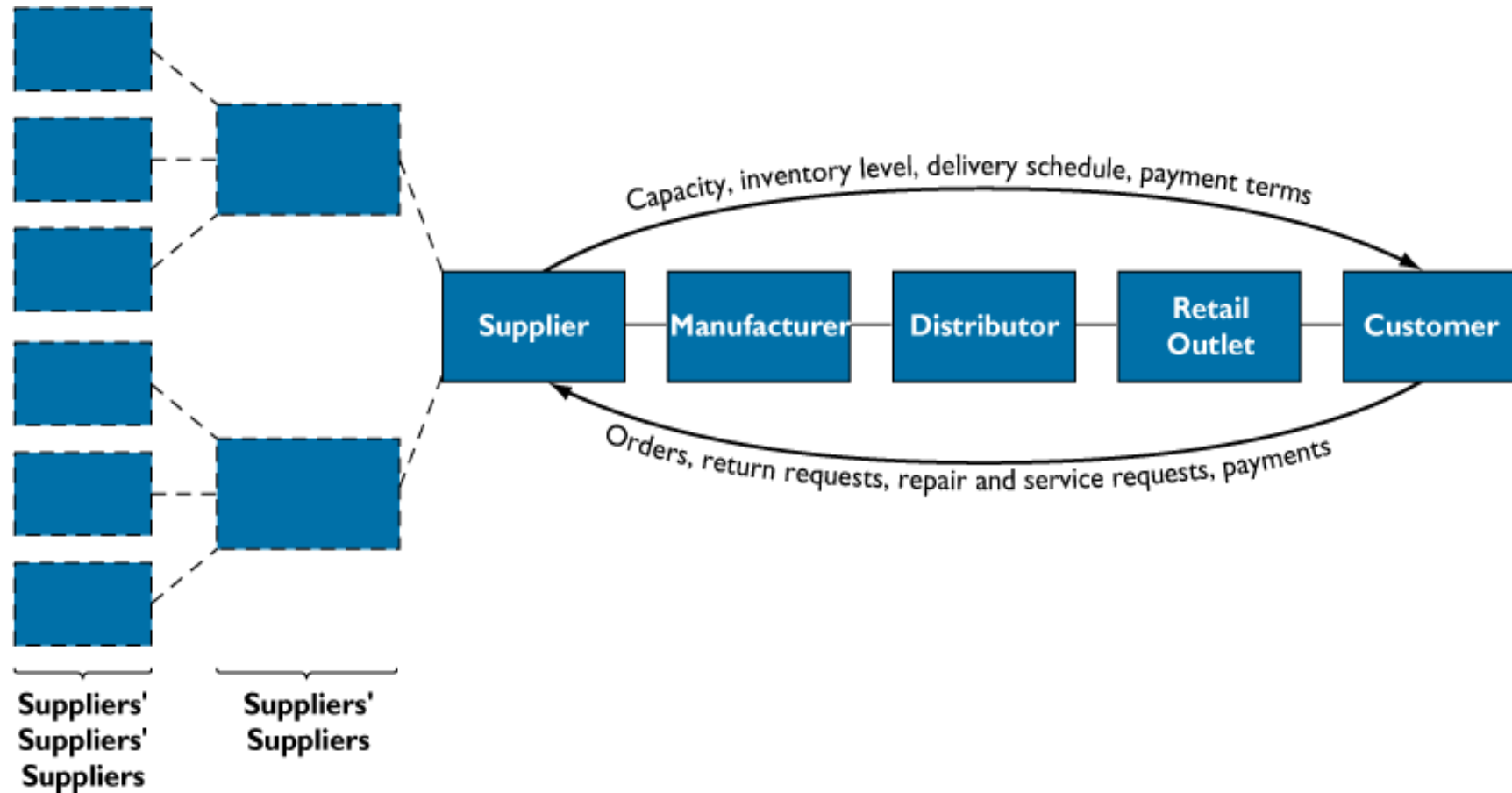
These systems are also known as *enterprise resource planning (ERP)* systems and are used to bridge the communication gap between all departments and all users of information within a company. If the production department enters information about its processes, the data are available to accounting, sales, and human resources. If sales and marketing is planning a new advertising campaign, anyone anywhere within the organization will have access to that information. Enterprise systems truly allow a company to use information as a vital resource and enhance the bottom line.

SYSTEMS FOR LINKING THE ENTERPRISE

Supply Chain Management(SCM)

Supply chain management is the close linkage and coordination of activities in buying, making and moving a product. It integrates supplier, manufacturer, distributor, and customer logistics processes to reduce time, redundant effort and inventory cost. The **supply chain** is a network of organizations and business processes for procuring materials, transforming raw materials into intermediate and finished products and distributing the finished products to customers. It links suppliers, manufacturing plants, distribution centers, conveyances, retail outlets, people and information through processes such as procurement, inventory control, distribution and delivery to supply goods and services from source through consumption.

SYSTEMS FOR LINKING THE ENTERPRISE



SYSTEMS FOR LINKING THE INTERPRISE

Customer Relationship Management systems(CRM)

Customer relationship management (CRM) is a term that refers to practices, strategies and technologies that companies use to manage and analyze customer interactions and data throughout the customer lifecycle, with the goal of improving business relationships with customers, assisting in customer retention and driving sales growth. An information system that maintains data about customers and all their interactions with the organization is called *Customer Relationship Management (CRM) System*.

SYSTEMS FOR LINKING THE ENTERPRISE

Knowledge Management Systems

Knowledge management (KM) is the process of capturing, developing, sharing, and effectively using organizational knowledge. Knowledge management efforts typically focus on organizational objectives such as improved performance, competitive advantage, innovation, the sharing of lessons learned, integration and continuous improvement of the organization.

Knowledge Management System (KM System) refers to a (generally IT based) system for managing knowledge in organizations for supporting creation, capture, storage and dissemination of information.

E-BUSINESS, E-COMMERCE AND E-GOVERNMENT

E-Business (electronic business) is any process that a business organization conducts over a computer-mediated network. Business organizations include any for-profit, governmental or nonprofit entity. Their processes include production, customer and internal or management focused business processes.

E-BUSINESS, E-COMMERCE AND E-GOVERNMENT



E-BUSINESS, E-COMMERCE AND E-GOVERNMENT

Ecommerce is a method of buying and selling goods and services online. The definition of ecommerce business can also include tactics like affiliate marketing. You can use ecommerce channels such as your own website, an established selling website like Amazon or social media to drive online sales.

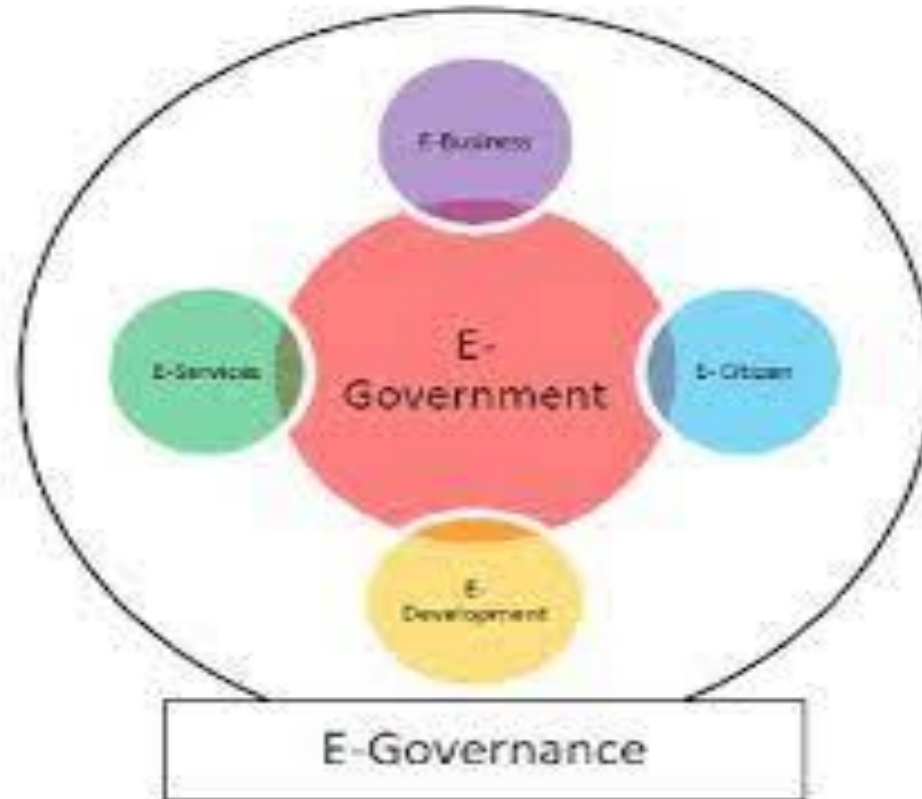
E-BUSINESS, E-COMMERCE AND E-GOVERNMENT



E-BUSINESS, E-COMMERCE AND E-GOVERNMENT

Electronic Governance is the application of Information and Communication Technologies (ICTs) for delivering government services through integration of various stand-alone systems between Government-to-Citizens(G2C), government-to-Business (G2B) and Government-to-Government(G2G) services. It is often linked with back office processes and interactions within the entire government framework. Through e-Governance, the government services are made available to the citizens in a convenient, efficient and transparent manner.

E-BUSINESS, E-COMMERCE AND E-GOVERNMENT



Collaboration

Collaboration is working with others to achieve shared and explicit goals. Collaboration focuses on task or mission accomplishment and usually takes place in a business, or other organization and between businesses. You collaborate with a colleague in Tokyo having expertise on a topic about which you know nothing. You collaborate with many colleagues in publishing a company blog. If you're in a law firm, you collaborate with accountants in an accounting firm in servicing the needs of a client with tax problems. Collaboration can be short-lived, lasting a few minutes, or longer term, depending on the nature of the task and the relationship among participants. Collaboration can be one-to-one or many-to-many.

BUSINESS BENEFITS OF COLLABORATION AND TEAMWORK

There are many articles and books that have been written about collaboration, some of them by business executives and consultants, and a great many by academic researchers in a variety of businesses. Nearly all of this research is anecdotal. Nevertheless, among both business and academic communities there is a general belief that the more a business firm is “collaborative,” the more successful it will be and that collaboration within and among firms is more essential than in the past.

BUSINESS BENEFITS OF COLLABORATION AND TEAMWORK

A recent global survey of business and information systems managers found that investments in collaboration technology produced organizational improvements that returned over four times the amount of the investment with the greatest benefits for sales, marketing, and research and development functions (Frost and White, 2009). Another study of the value of collaboration also found that the overall economic benefit of collaboration was significant: for every word seen by an employee in e-mails from others, \$70 of additional revenue was generated (Aral, Brynjolfsson, and Van Alstyne, 2007).

BUSINESS BENEFITS OF COLLABORATION

- Productivity
- Quality
- Innovation
- Customer service
- Financial Performance

Social Business and Benefits

Social business is a business that is aimed at addressing a social cause. The investment made by the investors is entirely with a vision of contributing to the social welfare and not profit entirely.

Social Benefits

Social benefits are the positive effects that a particular product or service can have on society as a whole. These benefits can include improvements in health, education the environment and the overall well-being of the community.

7 Essential Elements of Collaboration

- Cooperation.
- Assertiveness.
- Autonomy.
- Responsibility/Accountability.
- Communication.
- Coordination.
- Mutual Trust and Respect.

BUILDING A COLLABORATIVE CULTURE AND BUSINESS PROCESSES

Collaboration won't take place spontaneously in a business firm, especially if there is no supportive culture or business processes. Business firms, especially large firms, had in the past a reputation for being “command and control”.⁵⁹ organizations where the top leaders thought up all the really important matters and then ordered lower-level employees to execute senior management plans. The job of middle management supposedly was to pass messages back and forth, up and down the hierarchy. Command and control firms required lower-level employees to carry out orders without asking too many questions, with no responsibility to improve processes, and with no rewards for teamwork or team performance. If your workgroup needed help from another work group, that was something for the bosses to figure out.

BUILDING A COLLABORATIVE CULTURE AND BUSINESS PROCESSES

A collaborative business culture and business processes are very different. Senior managers are responsible for achieving results but rely on teams of employees to achieve and implement the results. Policies, products, designs, processes and systems are much more dependent on teams at all levels of the organization to devise, to create and to build products and services. Teams are rewarded for their performance and individuals are rewarded for their performance in a team. The function of middle managers is to build the teams, coordinate their work and monitor their performance. In a collaborative culture, senior management establishes collaboration and teamwork as vital to the organization and it actually implements collaboration for the senior ranks of the business as well.

TOOLS AND TECHNOLOGIES FOR COLLABORATION AND TEAMWORK

TOOLS AND TECHNOLOGIES FOR COLLABORATION AND TEAMWORK A collaborative, team-oriented culture won't produce benefits if there are no information systems in place to enable collaboration. Currently there are hundreds of tools designed to deal with the fact that, in order to succeed in our jobs, we are all dependent on one another, our fellow employees, customers, suppliers, and managers. Some high-end tools like IBM Lotus Notes are expensive, but powerful enough for global firms. Others are available online for free (or with premium versions for a modest fee) and are suitable for small businesses

CATEGORIES OF COLLABORATIVE SOFTWARE TOOLS

- E-mail and instant messaging
- Social networking
- Collaborative writing
- Collaborative reviewing/editing
- Event scheduling
- File sharing
- Screen sharing
- Audio/video conferencing

Internet-Based Collaboration Environments

There are now suites of software products providing multi-function platforms for workgroup collaboration among teams of employees who work together from many different locations. Numerous collaboration tools are available, but the most widely used are Internet-based audio conferencing and video conferencing systems, online software services such as Google Apps/Google Sites and corporate collaboration systems such as Lotus Notes and Microsoft SharePoint.

Internet-Based Collaboration Environments

- Virtual Meeting Systems
- Google Apps/Google Sites

THE INFORMATION SYSTEMS FUNCTION IN BUSINESS

We've seen that businesses need information systems to operate today and that they use many different kinds of systems. But who is responsible for running these systems? Who is responsible for making sure the hardware, software and other technologies used by these systems are running properly and are up to date? End users manage their systems from a business stand point but managing the technology requires a special information systems function.

The information systems department is the formal organizational unit responsible for information technology services. The information systems department is responsible for maintaining the hardware, software, data storage, and networks that comprise the firm's IT infrastructure.

THE INFORMATION SYSTEMS DEPARTMENT

The information systems department consists of specialists, such as programmers, systems analysts, project leaders and information systems managers. Programmers are highly trained technical specialists who write the software instructions for computers. Systems analysts constitute the principal liaisons between the information systems groups and the rest of the organization. It is the systems analyst's job to translate business problems and requirements into information requirements and systems. Information systems managers are leaders of teams of programmers and analysts, project managers, physical facility managers, telecommunications managers or database specialists.

THE INFORMATION SYSTEMS DEPARTMENT

The information systems department is headed by a chief information officer (CIO). The CIO is a senior manager who oversees the use of information technology in the firm.

The chief security officer (CSO) is in charge of information systems security for the firm and is responsible for enforcing the firm's information security.

Information systems security and the need to safeguard personal data have become so important that corporations collecting vast quantities of personal data have established positions for a chief privacy officer (CPO). The CPO is responsible for ensuring that the company complies with existing data privacy laws.

THE INFORMATION SYSTEMS DEPARTMENT

The chief knowledge officer (CKO) is responsible for the firm's knowledge management program. The CKO helps design programs and systems to find new sources of knowledge or to make better use of existing knowledge in organizational and management processes.

End users are representatives of departments outside of the information systems group for whom applications are developed.

ORGANIZING THE INFORMATION SYSTEMS FUNCTION

There are many types of business firms and there are many ways in which the IT function is organized within the firm. A very small company will not have a formal information systems group. It might have one employee who is responsible for keeping its networks and applications running or it might use consultants for these services. Larger companies will have a separate information systems department which may be organized along several different lines depending on the nature and interests of the firm.

ORGANIZING THE INFORMATION SYSTEMS FUNCTION

The question of how the information systems department should be organized is part of the larger issue of IT governance. IT governance includes the strategy and policies for using information technology within an organization. It specifies the decision rights and framework for accountability to ensure that the use of information technology supports the organization's strategies and objectives.